

My APC notes

Everything I need to remember, written for me. Four parts: how I do the research, the Axion case specifically, what to do when the information on the day lands, and how to actually write the answers.

PART 1 — How I do the research

Why the pre-release exists (and what it is not for)

The pre-release is there to give me a **holistic view of the business** and a **list of technical areas to research**. That is all. It is not there so I can pre-draft answers.

I cannot answer a single past APC task from the pre-release alone. Every task depends on instructions that only arrive on the day. The people who fail are the ones who walk in with pre-written answers and spend the day trying to make them fit. I must not be that person.

So the goal of the five days is: **know the business cold, and know the technical areas cold**. Not "predict the questions".

Step 1 — Understand the business properly

Read the whole pack once or twice just to understand it. Every word, every attachment, every hyperlink. If they put a link to a real company or a SARS guide in there, they did it deliberately — go and read it.

Then answer these, in writing:

- What is unique about this company? What strategy does it follow? What is the business model, and what are the income streams? Which segment does it target?
- How is it doing financially? Run the ratios. Look for **significant movements** and differences against industry norms — not every line item.
- Where is it in the life cycle — start-up, expanding, cash cow, declining, distressed? Every stage has its own risks and its own sensible decisions. My recommendations have to fit the stage. Do not propose a cash bonus to a company with no cash.
- Who are the people? Names, roles, qualifications, who reports to whom. I will be writing **to** these people.
- What governance structures exist? Board composition, committees, independence.
- Who are the stakeholders — customers, suppliers, funders, regulators — and is the company dependent on any one of them?
- What decisions does this company have to make inside the timeframe of the case?

Supplement it: industry reading, YouTube, and the integrated reports of comparable JSE-listed companies. Chairman's report for the external environment and governance; CEO's report for operations. I am trying to understand the **forces acting on a business in this industry and how it responds** — not to become an expert.

Finish with a SWOT or Porter's Five Forces so it is on one page.

Step 2 — Find the triggers

A trigger is an event, transaction, circumstance or issue that needs professional consideration. Triggers tell me what to **prepare**, not what will be **asked**.

Where they hide:

- **Content triggers** — any reference to a section of legislation, an accounting standard, an auditing standard. Always a strong trigger.

- **Scoping sentences** — "I am only interested in the financial reporting consequences" narrows what I research. Silence means consider every discipline.
- **Specific events** — an upcoming board meeting, an audit, a review, a decision, a deadline.
- **Anything I do not understand.** I have five days. There is no excuse for still being confused on the day.
- **Uncertainty** — anything phrased as a question, or where someone says they are concerned, or weighing options. Competence gets demonstrated on hard problems, so that is where they put the marks.
- **Anything my ratio analysis flags.**
- **Industry-specific standards that always matter**, whether mentioned or not. IAS 41 for a farm, IFRS 16 for an airline, IAS 40 for a property group, IFRS 6 and rehabilitation provisions for a miner.

Then **rank them**: how clear is the trigger, and how many separate pieces of information point at it? Spend my time in that order.

Step 3 — Unpack every trigger across every discipline

This is where my preparation usually falls short. A trigger is an **issue**, not a discipline. Before I research anything, I run it through every lens:

Lens	What I ask
Financial reporting	Which standard? Initial recognition, subsequent measurement, presentation, disclosure. What else does this transaction touch?
Tax	Not just "which section". The requirements for application, the exceptions, the exclusions, the limitations, and the effect of applying it or not. Income tax, CGT, VAT, dividends tax, employees tax.
Audit and assurance	The whole cycle — planning, materiality, risk of material misstatement, responses, evidence, reporting. Plus the ethical dimension.
Financial management	Valuation, financing, cost of capital, cash flow.
MDMC	Relevant costing, limiting factors, break-even, KPIs, budgeting, internal controls.
Strategy, risk, governance	Strategic fit, risk exposure, King V, Companies Act, stakeholders, the six capitals.
Ethics	Could anyone's conduct here be tested?

A mind map per trigger. It keeps me honest about breadth and stops me chasing the one answer I have decided is coming.

Step 4 — Research the area, not the question

Revise the whole technical area first, then apply it to the case. Keep the relevant page of the pre-release open next to the technical material so I keep seeing the trigger in context.

While I research, keep asking:

- Which requirements appear to be met? Which are uncertain?
- What assumptions am I making?
- What additional information would I want before I could conclude?

That last one is gold. Every answer I write should end with what I still need to know. It is free marks and it is what a real CA would say.

Work **one trigger at a time**. If something occurs to me about another trigger, note it on a separate page and carry on. Spend the most time on the highest-ranked triggers and on the content I am **least** comfortable with — not on the subjects I enjoy. I always drift to the stuff I like. Stop it.

Step 5 — The "what if" pass (the highest-return thing I do)

For each trigger: what if a fact changed? What if an exception applied? What if the day adds information?

Work through the alternative treatments and be able to journalise or calculate **each one**. The day almost always changes something. If my what-if comes up, I have already thought it through. If it does not, I understand the area far better anyway. There is no downside.

Practically: for every trigger I should be able to say "if they tell me X, I do A; if they tell me Y, I do B".

Step 6 — Build the file

Lever-arch, up to 8cm, plus the SAICA handbooks. **The file is not a substitute for knowing the material.** Exam time is for engaging with new information, not for learning what I should already know.

- The pre-release itself.
- A one-page summary per trigger, plus the supporting detail behind it.
- My SWOT and ratio analysis.
- Articles explaining anything I found unfamiliar.
- Industry analysis.
- Discipline checklists.
- Time management plans — one for seven tasks, one for eight, one for nine.
- A reminders page of the things I personally keep forgetting.
- Spare paper.

Index it. Flag it by colour. Do not pad it with material I have not actually read — if I have not read it, I will not find it under pressure.

Last thing: read the pre-release one final time **without** my research next to me, to get the big picture back. Then rest.

What I keep getting wrong in the research phase

- Researching the question I think is coming instead of the technical area.
- Going deep on the triggers I find interesting and leaving the ones I find hard.
- Not doing the what-if pass because I ran out of time — and then the day changes a fact and I freeze.
- Building a file I have not read.
- Forgetting to write down what information I would still need. That is a real answer component and I routinely leave it out.

PART 2 — Axion, specifically

Axion Digital Infrastructure (Pty) Ltd. I am the Financial Analyst reporting to the CFO, Sarah Naidoo CA(SA). Pre-release issued 18 September 2026, seven documents over twenty pages.

The business in my own words

Axion builds and runs data centres. Customers bring their **own** servers and put them in Axion's buildings. Axion sells the environment around that equipment — secure space, continuous power, cooling, physical security, resilience, on-site support — and then connects those customers to each other and to cloud providers. So what Axion actually sells is **reliable megawatts and uptime**, not computing.

Founded 2011 in Johannesburg by Kabelo Moleke (electrical engineer) and David Low (tech entrepreneur). Five facilities: Johannesburg 2, Cape Town 2, Durban 1. Year end 30 June.

Auditors KZL Inc. Private company. Revenue is roughly 85% data centre services, 15% interconnection.

The ten business points I must be able to use

1. **Axion sells reliable megawatts, not computing.** The product is guaranteed power and uptime. Revenue scales with MW contracted, not with what customers compute.
2. **MW is the currency of every decision.** Revenue per MW, capital cost per MW, contribution per MW. Three separate MW numbers are tracked: installed 45, contracted 40, utilised 35.
3. **Axion gets paid for availability, not consumption.** Contracted capacity drives revenue; utilisation drives cost. The customer buys the right to draw X MW. That is why 40 is contracted but only 35 used, and why revenue on the gap is still earned.
4. **Capacity is nearly sold out — only 5 MW left.** 89% contracted. The business problem has flipped from "find customers" to "allocate scarce capacity and build more".
5. **It is a J-curve business.** Capital first, revenue later. Capex ran at about 1.8 times EBITDA. JHB4 is being built now and comes into service **in phases**. This is why timing and funding dominate.
6. **The balance sheet is the binding constraint, not demand.** Interest cover falling every year; gearing 47%; borrowings 4.35 times EBITDA — already roughly where lenders set covenants, before R3–5bn of new capital.
7. **Electricity is the biggest cost, a pass-through, and the growth constraint all at once.** It is recharged to customers, but new capacity cannot be built without grid access, and new connections need long lead times. Power is a capacity enabler, not just a cost line.
8. **The moat is the ecosystem, not the buildings.** Interconnection is only 15% of revenue but it is what makes customers stick. A customer with lower contribution per MW can still be the right customer if it anchors the ecosystem.
9. **99.999% means an outage is existential, not operational.** About five minutes a year, for customers including banks. This explains the redundancy capex, the SLA exposure, the AI maintenance pilot, and why overselling capacity would be a genuine ethical problem.
10. **Founder-led turning institutionally backed.** Ubuntu 35% and Horizon 30% — 65% between them, but neither controls. Founders hold 25%. Governance "informed by" King V rather than fully applied. Entrepreneurial speed against organisational maturity: that is where the governance and ethics angles live.

One line that ties it together: Axion has proven demand and almost no spare capacity, so its constraint has moved from selling megawatts to funding and powering the next ones. Every decision in this case is really about capital, electricity and the balance sheet — not about customers.

The numbers I must know without looking

R million	FY2024	FY2025	FY2026
Revenue	1 820	2 160	2 620
EBITDA	745	905	1 116
Depreciation and amortisation	(285)	(340)	(415)
Operating profit	460	565	700
Finance costs	(225)	(290)	(375)
Profit before tax	235	275	325
Property, plant and equipment	7 150	8 620	10 250
Total assets	8 750	10 350	12 250
Interest-bearing borrowings	3 150	3 950	4 850
Total liabilities	4 700	5 700	6 850
Equity (assets less liabilities)	4 050	4 650	5 400

Ratio I worked out	FY2024	FY2025	FY2026	What it says
Interest cover (EBITDA / finance costs)	3.31	3.12	2.98	Falling every year despite EBITDA growth
Interest cover (operating profit / finance costs)	2.04	1.95	1.87	Below 2 on the measure lenders prefer
Borrowings / EBITDA	4.23	4.36	4.35	About where covenants get set
Gearing (borrowings / borrowings + equity)	43.8%	45.9%	47.3%	Rising
Capex / EBITDA	—	2.0	1.8	Spending about twice what it generates
EBITDA margin	40.9%	41.9%	42.6%	Improving — the operations are fine

Capacity	FY2024	FY2025	FY2026
Installed IT capacity	32 MW	38 MW	45 MW
Contracted capacity	27 MW	33 MW	40 MW
Utilised capacity	24 MW	29 MW	35 MW
Customers	290	325	354

Other numbers: R3–5bn capital over five years. JHB4 project facility R1.2bn from a syndicate of SA banks. Metroloop 40%, equity accounted. 300 employees. 99.999% target availability. Shareholders: Ubuntu 35%, Horizon 30%, Moleke 18%, Employee & Empowerment Trust 10%, Low 7%.

Careful: Document 2 says FY2026 revenue is R2.4bn; Document 5 says R2 620m. Never use one silently in a calculation — reconcile it or flag it.

Which document fires which trigger

Docum ent	Pages	What it is	Triggers
1	3	CFO welcome email with a six-item reading list	The index to the whole paper
2	4–5	Getting Connected — business model	Industry understanding; the revenue discrepancy
3	6–9	Board strategy day — Axion 2030 and the investment framework	Listing; investment decision; funding
4	10–12	Draft information memorandum — ownership and governance	Governance and ethics
5	13–15	Business performance pack	Revenue and leases; undeveloped land; Metroloop
6	16–17	IFRS 18 message plus the JHB4 investment committee extract	IFRS 18; IAS 23; the JHB4 scorecard
7	18–20	Powering Axion	Investment options; income tax; controls and the AI pilot

The CFO's six-item list in Document 1 is the clearest signposting in the pack: contracted capacity, the undeveloped land, IFRS 18, growth strategy and investment evaluation, tax on investments, and controls over AI tools. Three of the six point at Document 7, so that is the densest document.

The triggers, and which way each one can branch

For each of these I need to be able to say: if the day tells me X, I do A; if it tells me Y, I do B.

Revenue versus leases (Document 5)

The branch: is there an identified asset?

- "Dedicated racks, cages or areas" — **physically distinct** → identified asset → it contains a **lease**. Axion is the **lessor**.
- "Access to a contracted amount of power capacity" — a capacity right, **not** physically distinct → **not** a lease → IFRS 15.

If it is a lease, the chain is: separate the components (IFRS 16.12) → **I have no practical expedient**, 16.15 is lessee-only so separation is mandatory → allocate per 16.17 using IFRS 15.73–90 relative stand-alone selling prices, estimated under 15.79 because there is no observable price for the space → classify under 16.61–64, which on these facts is an **operating lease** (3–5 years against a 20–30 year asset, generic re-lettable cage, no transfer, no bargain option) → recognise income **straight-line**, which matters the moment they give me escalating payments.

Axion's access rules, safety requirements and monitoring are **protective rights**. They do not stop the customer directing the use. Say that expressly.

If it is IFRS 15, the three judgements they are really after are:

- **Stand-ready obligation** on the 5 MW gap — revenue as capacity is made available, not as electricity is used.
- **Principal or agent** on the power recharge — does Axion control the electricity before transfer? Separately metered, recovered per contract, plus a cooling contribution leans **principal (gross)**, but argue both and conclude.
- **Enforceable term** — a contract cancellable without penalty may have a far shorter enforceable term than its stated length.

The undeveloped land (Document 5)

Default on the pre-release facts: IAS 40 investment property. IAS 40.8(b) expressly covers land held for a **currently undetermined future use** — that is almost the exact pre-release wording. If it is currently sitting in PPE it is misclassified; reclassify, and consider whether that is a prior period error under IAS 8.

If the day says...	Then	Note
Plans still undetermined	IAS 40 investment property	The pre-release position
Board commits it to Axion 2030 for own use	IAS 16 PPE	IAS 40.9(c) excludes property held for future owner-occupation. Land is not depreciated
Board resolves to develop and sell	IAS 2 inventories	IAS 40.57(b), on commencement of development with a view to sale
Board resolves to sell as it stands	IFRS 5	Only if all the criteria are met. Investment property at fair value keeps IAS 40 measurement
Impairment indicators	IAS 36	Only on the cost model — fair value property is already remeasured

Measurement points to remember: fair value movements go to **profit or loss**, not OCI. Transfers under the cost model are at carrying amount with no gain. Under the fair value model, PPE → investment property is a **revaluation under IAS 16** (surplus to OCI, deficit to P&L), while investment property → PPE or inventories uses fair value at the date of change as deemed cost. Deferred tax under IAS 12.51C: rebuttable presumption of recovery through **sale**, which for land means the CGT rate of 21.6%, not 27%. Land never gets a capital allowance — base cost only.

IFRS 18 (Document 6)

Replaces IAS 1, effective for periods beginning on or after 1 January 2027. Axion is **not adopting it yet** — this is an impact assessment. It changes **presentation and**

disclosure only. Profit for the year does not change. If my answer says profit changes, it is wrong.

- **Five categories:** operating (the residual — never ask "is this operating", ask "is it investing, financing, tax or discontinued"), investing, financing, income taxes, discontinued operations.
- **Two required subtotals:** operating profit, and profit before financing and income taxes. Both mandatory for Axion.
- **Does Axion have a specified main business activity?** Only two exist — investing in assets, and providing financing to customers. Axion has **neither**. Document 5 says expressly it does not provide financing to customers, and its assets deliver a service rather than generating returns independently. So standard classification applies.
- **MPM test, in order:** (1) is it a subtotal of **income and expenses**? A ratio, a per-unit measure or a volume fails immediately — so capital cost per MW, revenue per MW, capacity delivered and safety incidents are all out. (2) Used in **public communications**? (3) About the **entity as a whole**, and not listed in paragraph 118?
- **Net interest not capitalised** is **not** an MPM on two independent grounds — not used externally, and project-specific rather than entity-wide. Give both.
- **EBITDA** is probably not an MPM because paragraph 118 lists operating profit before depreciation, amortisation and IAS 36 impairments — **but get the definition first**. If management adds back anything else it is no longer that listed subtotal.

The killer point: "net interest not capitalised" is interest expense **less** interest income on undeployed funds. The expense is **financing**, the income is **investing** — opposite sides of the required subtotal. Presenting it net is prohibited offsetting. It survives as an internal measure but cannot be a line in profit or loss. Same objection kills any "net finance cost" line.

What moves in a remapping: **Metroloop** is equity accounted so it is **always investing** — operating profit falls, and that is the number Ubuntu and Horizon benchmark. **Interest income** on undeployed JHB4 funds goes to investing, gross. **Capitalised borrowing costs** are not in profit or loss at all. And note that 700 less 375 equals 325 exactly, so the summary shows no separate line for Metroloop or interest income — ask why.

The investment decision and funding (Documents 3 and 7)

Four options: additional PPAs; direct investment in generation; off-site generation and wheeling; long-term offtake. The tax and risk profile of each differs completely — PPA gives **no capital allowance** because no asset is owned, direct investment gives s12B 50/30/20, s12U 100%, s13quin 5% and s11(e).

- **Get the basis right first.** Pre-tax cash flows need a pre-tax discount rate. Document 3 says initial feasibility uses pre-tax. Approximate conversion: pre-tax rate = post-tax WACC divided by $(1 - 0.27)$.
- **Relevant costing:** exclude sunk costs, common costs, overhead allocations that do not change, and financing cash flows where the WACC already reflects financing.
- **Beta:** comparable equity (geared) beta → ungear at the comparable's structure → asset beta → regear at the **project's** target structure → project equity beta. Ungear: $\beta_a = \beta_e \times E / (E + D(1-t))$. Regear: $\beta_e = \beta_a \times (1 + D(1-t)/E)$. Several comparables: ungear each, average the asset betas, regear once. The comparable must match the **project**, not Axion.
- **Break-even properly:** the decision-relevant break-even is the **point of indifference between the two options**, not an NPV of nil. Set $NPV(PPA) = NPV(\text{build})$ and solve for the maximum acceptable tariff. Express both as levelised cost per kWh so a 3-5 year PPA and a 25 year plant are comparable. State it as a rule: "contract below R x per kWh, otherwise build."
- **Funding — FRICTO on the three options.** Debt is cheapest (about 10.5% pre-tax) but weakest: 4.35 times borrowings to EBITDA and 1.87 times operating profit interest cover leave almost no headroom. Existing shareholders cost 18-22% but reduce risk,

and failure to follow is itself a negative **signal**. A new strategic investor brings money and expertise but dilution, a board seat and probably a listing or exit agenda.

Income tax (Document 7)

Rate 27%, CGT effective 21.6%. The branch is simply: **does Axion own the asset?**

- **No asset owned** → s11(a) with s23(g) only. Full cost of electricity, every year, no rate, no write-off period. Not capital because it works the income-earning operations.
Exception: an arrangement that is in substance an **instalment credit agreement** does give s12B despite the producer holding title.
- **Axion owns it** → s12B(1)(h) 50/30/20 (100% in year one only for PV not exceeding 1 MW); s12U 100% on new roads and fences; s13quin 5% on a new building; s11(e) on transmission lines, transformers and grid-charged batteries. **s12BA (125%) is gone** — it needed first use before 1 March 2025.
- **Joint operation** → s24H proportionate share, limited by the at-risk amount in s24H(3), excess carried forward under s24H(4).

Four things that destroy the allowance, and I must check each: **ownership** (if the plant accedes to land Axion does not own, nil to Axion and nil to the landowner; s12N only rescues government land or a PPP); **mixed sources** (an **asset** using both renewable and non-renewable sources qualifies for nothing, with no apportionment — but the test is at **asset** level, so separate diesel generators do not taint a standalone solar plant); **the s12U trade test** (s12U needs the trade of generating electricity exceeding 5 MW; s12B has no trade restriction); and **absorption** (s20(1)(a) caps a brought-forward loss at the higher of R1m or 80% of taxable income, so a project company with no other income traps the benefit — structure is worth more than the rate).

JHB4 and Metroloop (Documents 6 and 5)

IAS 23, three questions in order. Has capitalisation **commenced** (expenditure incurred, borrowing costs incurred, activities in progress)? Must it be **suspended** (extended periods where active development is interrupted — a grid connection delay with nothing else happening is an interruption)? Has it **ceased** (substantially all activities complete — and JHB4 comes into service **in phases**, so cease per phase and start depreciating that phase)?

For **specific** borrowings, capitalise actual borrowing costs **less investment income on temporary investment of those borrowings**. That is why the undeployed deposit matters. And the commercial point: deposit rates are below the facility rate, so drawing early creates a **negative carry** — which is exactly what the scorecard measure polices. The control weakness is that Treasury negotiates the facility but the **delivery team** decides drawdown timing.

Metroloop: 40% does **not** create joint control — IFRS 11.7 needs unanimous consent, and at 40% **significant influence is presumed** (IAS 28.5). If joint control is proved, then: no separate vehicle = always a joint operation (B16); with a separate vehicle the presumption is joint venture, then test legal form (B22–24) → contractual terms (B25–28) → other facts (B29–33). Metro fibre vehicles commonly meet B31–33 — the parties take the output and fund the liabilities — which **rebutts the joint venture presumption** and makes it a joint operation. Axion is in connectivity, so taking output is the obvious commercial arrangement.

Governance and ethics (Document 4)

First, know which source **binds**: the Companies Act and Regulations are **law**; King V is **apply and explain** (issued 31 October 2025, 13 principles, effective for years beginning on or after 1 January 2026, so Axion's first affected year is FY2027); the SAICA Code binds a **member** in full — the CFO and me.

The statutory position, which is the load-bearing bit: Axion is a **private** company with a public interest score **well above 9 000**. So the **audit is compulsory** (Reg 28, PIS ≥ 350)

and the **social and ethics committee is compulsory** (s72 and Reg 43, PIS above 500 in two of five years). But **s94 does not apply** — it binds public and state-owned companies only — so the Audit & Risk Committee is **voluntary** unless the MOI requires it, and the s94(4) independence tests are persuasive, not binding.

Issues visible on the face of Document 4: Van de Wyk is Ubuntu's investment director and **chairs the Investment Committee** (shareholder nominee chairing capital allocation — s75, consider recusal); Dr September chairs the board **and two committees** (capacity and independence); Mthanda is a former audit partner — of which firm, and how long ago, because if it is KZL Inc a cooling-off period matters; only two of seven directors are independent.

Controls and the AI pilot (Document 7)

The Audit & Risk Committee has **requested assurance** over the processes and controls supporting the AI maintenance pilot at Johannesburg 1 before wider implementation. That sentence is a task instruction.

- **Governance:** approved purpose and scope, model inventory, committee approval before rollout.
- **Input:** completeness and accuracy of the sensor and operational data; segregation between preparer and reviewer.
- **Model:** version control, change management, revalidation after changes, independent validation separate from the developer.
- **Output:** grounding and factual verification, reasonableness against engineering judgement — the tool recommends, a human decides.
- **Monitoring:** exception reporting, incident logging, and tracking **false negatives** (equipment not flagged that then failed) — which matter far more than false positives when the promise is five nines.
- **Fallback:** the existing maintenance regime must still work if the tool is unavailable.

If instead they ask about the **JHB4 scorecard**: no measure of build quality; schedule and cost measures conflict; "net interest not capitalised" holds the delivery team to a treasury outcome it only partly controls; no weighting of safety against the rest. Recommend SMART replacements.

A possible listing (Documents 3 and 4)

Document 4 is a **draft information memorandum for a strategic funding review**, and Document 3 lists "a new strategic investor" as a funding option. If the day turns this into a listing question: Axion is **eligible on the financial tests** — PBT of R325m easily clears the R15m Main Board profit threshold, and net assets of about R5.4bn clear the R500m alternative asset route. The obstacles are **structural**: at least 25 million issued shares, a **10% free float** and **100 public shareholders**, none of which a privately held company has. Also unconfirmed: whether the three years are **audited**, the JSE-defined NAV, the share register, 12-month control history and sponsor appointment.

The four sentences that decide four different tasks

11. "**Axion does not provide financing to its customers.**" Closes the significant financing component under IFRS 15 **and** the specified main business activity test under IFRS 18.
12. "**Customers may contract for capacity before they begin using it.**" Stand-ready obligation, and the 5 MW gap.
13. "**Purchase commitments may begin before the new facility is fully utilised.**" IAS 37 onerous contract on a long-term offtake.
14. "**Not included in Axion external communications.**" Decides the MPM question — net interest not capitalised is not an MPM.

The management accounting angle I must not miss

Only **5 MW** of installed capacity is left to sell. If the day gives me competing customers, that is a **limiting factor** problem. Rank on **contribution per MW** = capacity fees + power margin + interconnection + ancillary, less the customer's electricity, variable support costs and credit losses, for each MW reserved. Then adjust for what the number does not capture: contract length, credit quality, power density, **ecosystem value** and strategic fit. And remember the two different meanings of "5 MW" — 5 MW still to sell, and a 5 MW gap between contracted and utilised.

PART 3 — Information on the day

What the day can do to my research

Five possibilities, and I should expect at least two of them:

- **Give me the specific task** for a topic I prepared. Lovely. Rare.
- **Supply the inputs** I was waiting for — the contract, the figures, the capacity data.
- **Change what I expected.** I prepared to build a valuation; they hand me one to review. I prepared the five-step revenue model; they ask me to critique three journals.
- **Change what I thought I knew — the twist.** I thought the company was acquiring; it is being acquired. I expected management's perspective; I am given the auditor's.
- **Take me completely by surprise.** Usually ethics. Ethics is almost never triggered in the pre-release, so I should plan to meet the dilemma for the first time on the day and rely on structure, not content.

The rule: everything on the day is there for a reason

For every line of new information, ask four questions:

15. Why was I given this?
16. How does it change what I already knew?
17. What am I supposed to do with it?
18. How do I **show the marker** that I understood its significance?

That fourth one is the one I forget. Understanding it silently earns nothing. I have to write the sentence that proves I used it.

The hardest thing, and the one that separates grades

Identify which of my research is now irrelevant, and throw it away. Being ruthless here is the only thing that prevents dumping. If I prepared twelve pages on IFRS 16 and they ask about the power recharge under IFRS 15, those twelve pages are worth nothing today. Writing them anyway actively costs me marks and, worse, time.

The goal is to **answer the task**, not to apply my research. Sometimes my research turns out to be largely irrelevant. That is fine and it is normal.

Planning the day — the mechanics

19. **Read the task list first and count the tasks.** Note the requested **format** of each one — email, memo, report, minutes, slides — because that tells me the expected length and tone before I write a word.
20. **Pull out the matching time plan.** 40 minutes to read and plan, 40 minutes to check, the rest divided by the number of tasks and then flexed by difficulty. Add 5–15 minutes to two or three hard tasks and take it from the easy ones.
21. **Never more than 75 minutes on any task.** Overspending on tasks (a) and (b) is the single most reliable way to fail.

22. **Never steal from the checking buffer early in the day.** It always feels worth it at 10am. It never is at 4pm.
23. **Decide the order.** Consecutive is safest if I fluster. Strengths first builds confidence and banks time. Hardest first uses my freshest thinking. Whatever I pick, do **not** leave the hardest task until I am tired.
24. **Take short breaks.** Stand up, move, reset between tasks.

Quick hack: draft the first email opening once, then copy it for the other tasks and change the recipient and subject line. Saves real minutes.

Reading the required properly

- **Number the components** ①②③ in the margin. Tick them off as I write. A missing component almost guarantees a non-pass.
- **Write down the scope words** before planning: "high level", "ignore tax", "no calculations needed", "only critique what is provided", "at least three", "you may assume", "you do not need to recalculate". These are instructions, not hints — and they are there to **help** me spend time well, not to trick me.
- **Identify the audience.** CEO, CFO, board, junior colleague, audit partner, external party. Each gets a different tone, a different level of detail and a different kind of content. A board wants strategic consequence; a financial manager wants the standard applied; a junior needs coaching, not correction.
- **Ask what this person actually needs to know.** If I can answer that in one sentence, I have the task.

"High level" means skip the intricate mechanics. It does **not** mean skip the core principle, and it never excuses failing to apply the facts and dates given on the day.

Spotting the branch

For every technical trigger I prepared, the day sends me down one path. I must **name the path explicitly** in my answer, with the reason:

"On the basis that the board has committed the site to the Axion 2030 programme, the land is property, plant and equipment rather than investment property, because it is now held for future use as owner-occupied property and therefore falls outside IAS 40 by virtue of IAS 40.9(c)."

That one sentence shows I knew the alternatives existed, chose between them, and knew why. That is what competence looks like on paper.

If I freeze

Something will catch me out. When it does: go back to **first principles**, write down what I **do** know, and start writing. Movement beats paralysis. And do not panic into a major rewrite — pause, re-reason, change only what must change.

PART 4 — Answering technique

Before I write anything

25. **Audience.** Who is this for, and what do they need?
26. **Components.** Number them ①②③. The first is usually the most important.
27. **Scope.** Write the scope words down where I can see them.
28. **Skeleton.** Sub-headings first, then key words under each, then sentences. Never start writing prose into a blank page.

While I write

- **Lead with the answer, then support it.** Recipients read the first line. If I have a recommendation, it goes at the top.
- **Every point carries a "because".** Add a conjunction to every point — *because*, *and*, *due to*. "That's wrong" is worthless; "that is wrong because the standard requires X and the treatment does Y, with the consequence that profit is overstated by Z" is an answer.
- **Be systematic, not scattered.** Line by line, contract by contract, procedure by procedure.
- **Say what is correct as well as what is wrong.** If the discount rate is right, write "the discount rate is appropriate". Unwritten knowledge is knowledge the marker cannot credit.
- **Be specific.** "Review the payroll report" is nothing. "The financial manager compares the payroll report to each project manager's authorised overtime report and signs it" is a control.
- **Breadth and depth.** Breadth = covering different themes. Depth = explaining why each matters. Six controls covering validity, accuracy **and** completeness beat six controls all about accuracy.
- **Cross-discipline unless scoped out.** A financial reporting answer can note the tax or audit consequence briefly. Do not go crazy — add a little extra value.
- **Use "I", "we", "our company".** I work there.
- **Quantify wherever the facts allow**, using the figures given on the day.
- **Never write out extracts** of IFRS, King or the Companies Act. Highlighting one key principle is fine; reproducing the book is a communication failure.
- **Never suggest a specialist** for something I should know myself. Appropriate for genuinely complex valuation or tax; never for ordinary accounting or auditing.

Before I move on

- Does it answer the task? **Every** component?
- Does it meet what the recipient actually needed?
- Have I **concluded**, where a conclusion was called for? An analysis without a recommendation is an incomplete task — especially where the numbers are close, because then the recommendation has to be carried explicitly by judgement.
- Have I said what information I would still need?
- Any contradiction with another task's answer? Both are mine, and contradictions create doubt about competence.
- Any real name anywhere? Remove it. I sign as "Newly qualified CA(SA)".

Formats — what each one signals

Format	When	Key rules
Email	The default. Most APC answers.	Short, to the point. Crux in the first one or two lines. One idea per paragraph. Headings or numbers where there is more than one component. Close with next steps. If the content is long, put the detail in a clearly labelled attachment and keep the email as a covering note — that also lets me lead with the conclusion.
Memo	Internal, interdepartmental.	TO / FROM / DATE / SUBJECT block. Decisive but polite introduction. Body in numbered points under informative headings so it can be skimmed. Short positive close. A memo is not signed.
Report	Formal and comprehensive.	Title page → abstract (~250 words, written last) → introduction (context, scope, objectives, limits, method) → discussion and findings (interpret, do not just list; state limitations) → conclusions and recommendations (introduce nothing new).
Letter	External parties.	Formal. Company letterhead convention, recipient address, salutation, clear subject line, sign off properly.
Minutes	As requested.	Minutes: factual, who said what, decisions and actions with owners.

/ slides	Slides: headline per slide, few words, the point in the title.
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Subject lines must be **specific**. "Investment decision" is weak. "Recommendation on the renewable electricity options for the Axion 2030 programme" is right.

Technique by task type

Reviewing a calculation or someone else's work

- Go **line by line**.
- Say what is **correct** as well as what is wrong.
- Consider items wrongly **included** and items wrongly **excluded**. The second is harder and separates competent from borderline — I always forget the omissions.
- Question the reasonableness of forecasts and judgements, and give a **comparative or a reason** for why I am questioning them.
- Then add qualitative insight linked to the business context.
- If asked only for errors, do not list the correct items at length. If asked for both, do both.
- Tone: questioning and constructive. Explain the **principle**, not just the verdict.

Open-ended tasks ("key factors", "key issues", "what should we consider")

These often need no conclusion — they test my thought process. "Key" means key: a short list of well-explained, **contextualised** points beats a long list of generic ones. Generic answers actively count against me.

Internal control tasks

- A weakness is a **root cause plus what could go wrong** — not a restatement of the process.
- Every recommendation must be practical in the actual operating environment, linked to a specific weakness, and detailed enough to implement.
- Cover **validity, accuracy and completeness** — not six controls all about one of them.
- Separate monitoring from operations. Do not give oversight staff operational duties.

Audit tasks

- Procedures must say **what, how, and on what evidence**.
- Distinguish management's responsibilities from the auditor's.
- Weigh the **reliability** of evidence — internal versus external, enquiry versus corroboration.

Tax tasks

- Identify the **specific** provision the facts engage, not the nearest plausible one.
- Work through its requirements, exceptions, exclusions and reliefs.
- Use the financial statement extracts to identify which balances need tax revision.

Ethics tasks

Structure every one of them the same way, because I will not have prepared the content:

29. **What is the dilemma or concern?** Describe it precisely. If I cannot articulate it, I cannot resolve it.
30. **What bears on it?** The facts, plus the frameworks — SAICA Code fundamental principles and the five threats; King V ethical and effective leadership, organisational ethics, corporate citizenship, stakeholder inclusivity; the Companies Act (s75 conflicts, s76 duties, s77 liability, s72(4) social and ethics committee); NOCLAR.
31. **What should be done?** Balanced discussion of the alternatives, then a clear course of action, in a respectful tone. "Consider" for the optional; state the mandatory plainly.

There is no such thing as a task that is "a business question, not an ethical question". Business is an ethical endeavour. Look for the ethical dimension in every task.

And consider **more than one stakeholder group** — I consistently write only about the company.

The things markers actually penalise — my personal list

These repeat every single year. Read this page before I start writing.

32. **Spending too long on the first one or two tasks.** People who go big early hardly ever finish. Not finishing is close to fatal.
33. **Not answering every part of the task.**
34. **Ignoring the information on the day.** The most common cause of a Limited Competence.
35. **Forgetting the pre-release context.** Recommending a cash distribution for a cash-constrained business shows I do not understand the company.
36. **Not explaining why.**
37. **Dumping technical content.** Earns nothing and signals weak communication.
38. **Thinking the goal is to apply my research.** The goal is to answer the task.
39. **Fundamental errors** — depreciation in a cash flow forecast, "IFRS says" something it does not, revenue only when cash is received. One of these casts doubt over everything else I wrote.
40. **Writing as an outsider** instead of as an employee.
41. **Freezing over what I do not know.**
42. **Saying or doing anything unethical**, including offering to share confidential information. Nothing else I write will save that task.
43. **Not stating the obvious.** If a procedure is correct, write "Correct".
44. **Panicking into major rewrites.**
45. **Under-performing on financial reporting.** SAICA uses FR as the key indicator of competence, and there is usually more than one FR task. Never leave an FR task thin.
46. **Not checking, so contradictions survive.**
47. **Deferring to a specialist** where I should know the answer.
48. **Using my real name.** Ever.

Failures of scope — the biggest time-waster

Answering **wider than asked** was the single largest source of lost time and lost grades in the August QE. Candidates set out the whole five-step revenue model when asked only to review journals; built DCF and IRR models when told the analysis was an initial screening; proposed new audit procedures when told to critique only what was given.

Also: unnecessary definitions. If there is no doubt that something is a contract, do not define a contract.

Failures of depth and breadth

- Identifying an issue without explaining why it matters or what the consequence is.
- Stating a question without the reason it is relevant. Not "why has an after-tax rate been used?" but "why an after-tax rate, given that these are pre-tax cash flows and should therefore be discounted at a pre-tax rate?"
- Naming a framework without applying it.
- Points too brief to stand — half sentences, bare bullets, no application.
- Vague recommendations: "improve controls", "increase monitoring". Specify who, what, where, how often, and to what end.
- Giving the **same reason** for several different items. If that happens, I have stopped thinking.
- Raising one or two obvious issues when the case contains five.
- Repeating the same point in different words and counting it as coverage.

- Reviewing items in isolation when they operate as a **set** — KPIs work together, controls work together, reconciling items must be dealt with as a whole.

Failures of judgement

- **No conclusion** where a recommendation was asked for.
- Leaving qualitative factors as a list instead of converting them into a decision the recipient can act on.
- Accepting management's or a tool's numbers without professional scepticism.
- Answering from the wrong perspective — the counterparty's rather than my employer's.
- Strategic points that are not contextualised to **this** business.
- Recommendations that are not pragmatic for this company at this stage of its life.

What the grades actually mean

Grade	Meaning
HC Highly competent	Great answer. No major faults.
C Competent	Good answer. Useful. Would be complimented on it. Could be improved. This is a pass.
BC Borderline	Not currently useful, but could become useful. Not a pass.
LC Limited competence	Missed the boat. Fail.
NA No attempt	Viewed very negatively — a competent person gets through their work.

A Competent answer does **not** have to be perfect. It has to be **useful to the person who asked for it**. On a seven-task paper, roughly four C's is the usual threshold, with financial reporting weighted most heavily as an indicator.

So if I am short of time on a task: get breadth first. A shorter point on each component beats a complete answer to one of them. A missing component almost guarantees a non-pass; a thin one does not.

My own reminders page

- Read the task list and count the tasks **before** anything else.
- Number the components. Tick them off.
- Write the scope words at the top of my planning page.
- Name the branch explicitly and give the reason.
- Use the numbers they gave me today.
- Say what is right as well as what is wrong.
- Every point gets a "because".
- Conclude. Then say what information I still need.
- Watch the clock — 75 minutes maximum, and protect the checking buffer.
- No real name.